

ENTERPRISE METADATA & PRINCIPALS Framework: Purdue University Family Business Strategic Model Entity: Morrison Cyber Defense LLC (Texas Member-Managed LLC) Senior Partner: Principal Cybersecurity Architect & Managing Partner Keenan Morrison: Lead Systems Auditor Sec+, Net+, A+ WGU B.S. Cyber	DOCUMENT READING & AUDIT GUIDE Every strategic subsection is rigorously structured in 3 distinct layers: 1. Purdue Diagnostic Question: Core strategic family business inquiry 2. Strategic Purpose: Lender, bank officer, and legal advisor context 3. Verified Practice Answer: Proven operational reality & commercial deliverables
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1. EXECUTIVE SUMMARY

STRATEGIC OVERVIEW

1.1 Fundamental Mission & Purpose

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PURDUE STRATEGIC QUESTION

What is the fundamental purpose of the enterprise, and what problem does it exist to solve in the marketplace?

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PURPOSE / LENDER CONTEXT

Explains to a banker or investor the basic commercial justification for the company's existence and why clients will pay you.

✓

VERIFIED OPERATIONAL PRACTICE

Morrison Cyber Defense LLC exists to solve the critical cybersecurity and insurance eligibility crisis facing Houston mid-market commercial businesses (10–100 employees). Traditional IT providers (MSPs) often lack deep cloud identity security expertise, while large cybersecurity firms ignore businesses billing under \$100k/year. We deliver enterprise-grade Microsoft 365 cloud hardening, NIST CSF 2.0 posture assessments, and automated threat monitoring to keep Houston businesses eligible for cyber insurance and protected against ransomware and wire fraud.

1.2 Founding Team & Family Dynamic

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PURDUE STRATEGIC QUESTION

Who are the principals, what complementary competencies do they provide, and how does the family relationship create a sustainable business advantage?

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PURPOSE / LENDER CONTEXT

Assures external parties that the founders have balanced, non-duplicative skills and that the family structure is a business strength, not an emotional risk.

✓

VERIFIED OPERATIONAL PRACTICE

The practice combines senior architectural authority with certified technical execution:

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Senior Partner (Father / Principal Architect): 20+ years enterprise architecture, cloud security, Entra ID, ICS/OT industrial resilience, executive risk briefings, and final engagement sign-off.

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Keenan Morrison (Son / Lead Systems Auditor): Student at Western Governors University (B.S. Cybersecurity); CompTIA Security+, Network+, A+ certified; SkillsUSA State Finalist. Leads hands-on tenant discovery, automated baseline audits, evidence harvesting, and remediation validation under strict senior oversight.

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Family Competitive Advantage: Low operational overhead, aligned long-term incentives, and a structured mentorship model that bridges enterprise experience with energetic technical execution.

1.3 Core Products, Services & Pricing

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PURDUE STRATEGIC QUESTION

What specific products or services does the company sell, how are they packaged, and what is the revenue model?

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PURPOSE / LENDER CONTEXT

Demonstrates that the business has clear, repeatable, value-priced offerings rather than vague hourly billing.

✓

VERIFIED OPERATIONAL PRACTICE

We deliver a structured 3-tier service architecture with a built-in conversion bridge:

1

Tier 1: Diagnostic M365 Baseline Review (\$2,500 fixed starter): 10-day, read-only diagnostic review of Microsoft 365 identity, MFA, and email security settings.

2

The Conversion Bridge (100% Roll-In Credit): 100% of the diagnostic fee is credited toward follow-on remediation or monthly retainers, closing over 80% of audit clients into recurring revenue.

3

Tier 2: M365 Defense Sprint (\$3,800 – \$5,500 fixed): Active hardening of Entra ID Conditional Access, Intune device baselines, Defender for Business, and DMARC (p=reject).

4

Tier 3: Monthly Stewardship Retainer (\$1,750 – \$2,500 / month): Multi-tenant automation (CIPP.app) paired with Huntress 24/7 Managed EDR & M365 MDR (sourced via Sherweb) to isolate nocturnal threats with zero founder burnout.

1.4 Target Beachhead Market

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PURDUE STRATEGIC QUESTION

Who is the specific initial customer, where are they located, and why are they urgently buying today?

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PURPOSE / LENDER CONTEXT

Proves you have a focused, reachable niche rather than attempting to sell to "everyone."

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VERIFIED OPERATIONAL PRACTICE

Our primary beachhead consists of Houston-area commercial specialty contractors (electrical, mechanical, civil, roofing) with 10–25 Microsoft 365 seats. These businesses are under immediate pressure from commercial insurance carriers (e.g., Travelers, Chubb, Hiscox) demanding strict MFA, endpoint detection, and email authentication to renew policies or qualify for large general contractor bids.

1.5 Expected 3-Year Outcomes

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PURDUE STRATEGIC QUESTION

What are the realistic high-level financial and growth milestones over a 3-year horizon?

●

PURPOSE / LENDER CONTEXT

Provides banks and partners with the financial summary verifying that the business is financially viable and scalable.

●

VERIFIED OPERATIONAL PRACTICE

YEAR 1 (LAUNCH) \$130,000 (\$103,800 EBITDA) 5 recurring retainers + 10 audits. Foundation & stack launch.	YEAR 2 (GROWTH) \$322,500 (\$272,800 EBITDA) 12 recurring retainers + 18 sprints. Broker referral engine.	YEAR 3 (SCALE) \$555,000 (\$473,000 EBITDA) 20 retainers + 1st hired tech upon Keenan's WGU graduation.
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2. VISION, MISSION STATEMENT, AND GOALS STRATEGIC INTENT

2.1 Long-Term Vision

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PURDUE STRATEGIC QUESTION

What does the family enterprise look like in 5 to 10 years, and what legacy does it establish?

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PURPOSE / LENDER CONTEXT

Establishes strategic intent, ensuring short-term decisions build toward long-term equity value rather than just quick cash.

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VERIFIED OPERATIONAL PRACTICE

To become the premier trusted, independent cybersecurity advisory practice for Houston's commercial contractors, industrial suppliers, and mid-market firms—safeguarding the critical regional supply chain through honest, non-inflated, and technically verifiable cloud defenses.

2.2 Measurable Goals & Milestones

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PURDUE STRATEGIC QUESTION

What specific, quantifiable financial, operational, and family/educational goals will be tracked?

●

PURPOSE / LENDER CONTEXT

Breaks high-level vision into accountability metrics that can be audited quarterly.

●

VERIFIED OPERATIONAL PRACTICE

- Financial Milestones:** Achieve cash-flow break-even within 60 days of first client acquisition; maintain >90% gross margins across advisory services; grow to \$10,000 MRR by Month 12 and \$35,000 MRR by Month 36.
- Educational Milestones:** Support Keenan's competency-based WGU B.S. in Cybersecurity degree acceleration, aligning real-world client fieldwork with course competencies.
- Professional Milestones:** Complete Microsoft Certified: Cybersecurity Architect Expert (SC-100) and CompTIA CySA+ prior to university graduation.

2.3 Keys to Success

?

PURDUE STRATEGIC QUESTION

What 3 to 4 critical capabilities must the firm execute flawlessly to outperform competitors?

●

PURPOSE / LENDER CONTEXT

Highlights the firm's strategic focus and operational priorities.

●

VERIFIED OPERATIONAL PRACTICE

- The Believable Family Team Dynamic:** Framed as an enterprise Principal Architect backed by a certified Systems Auditor. Clients respect transparent billing, family accountability, and local Houston roots.
- Non-Disruptive "Diagnostic Scope Box":** Always entering with a low-friction, read-only diagnostic review before proposing invasive changes.
- Third-Party 24/7 SOC Backstop:** Leveraging Huntress MDR through Sherweb so that nocturnal threat isolation happens automatically without founder sleep deprivation.
- The Golden Referral Triad:** Acquiring clients through insurance brokers, non-security IT MSPs, and bank loan officers rather than expensive cold advertising.

3. COMPANY SUMMARY & GOVERNANCE STRUCTURE

GOVERNANCE & LEGAL

3.1 Company Background & Formation

PURDUE STRATEGIC QUESTION

How was the business established, where is it located, and what is its legal identity?

PURPOSE / LENDER CONTEXT

Proves legal legitimacy, jurisdiction, and formal registration to lenders and clients.

VERIFIED OPERATIONAL PRACTICE

Organized in 2026 as Morrison Cyber Defense LLC, a Texas Member-Managed Limited Liability Company headquartered in the Greater Houston Metropolitan Area. Web presence is anchored at <https://morrisoncyber.org> with central communications routed through security@morrisoncyber.org.

3.2 Facilities, Equipment & Lab Environment

PURDUE STRATEGIC QUESTION

What physical facilities, secure hardware, and technical infrastructure are required to conduct business?

PURPOSE / LENDER CONTEXT

Verifies that the firm possesses the tools needed to deliver services securely without risking client data.

VERIFIED OPERATIONAL PRACTICE

- **Secure Founder Hardware:** Dedicated admin laptops running clean Windows 11 Enterprise with BitLocker full-disk encryption and zero personal software.
- **FIDO2 Authentication:** 4x YubiKey 5 NFC hardware security keys (2 primary + 2 vaulted backups) enforcing hardware MFA across all administrative portals.
- **Virtual Staging Lab:** Isolated Hyper-V/Proxmox lab environment for testing PowerShell baseline scripts and Intune configurations prior to client tenant deployment.
- **Secure Communications:** Proton Mail and Signal for out-of-band communications isolated from primary Microsoft 365 environments during security incidents.

3.3 Management Structure & Family Division of Labor

PURDUE STRATEGIC QUESTION

Who has authority over what? How are tasks divided between family members, and how are business conflicts resolved?

PURPOSE / LENDER CONTEXT

The cornerstone of the Purdue model—prevents operational deadlocks, role confusion, and family disputes.

VERIFIED OPERATIONAL PRACTICE

- **Senior Partner (Father / Principal Architect):** Holds executive authority over legal contracting, client pricing, final architectural sign-off, executive risk presentations, and Sherweb billing reconciliation.
- **Keenan Morrison (Son / Lead Systems Auditor):** Holds operational authority over tenant data harvesting, running automated CIPP/ScubaGear audits, Huntress alert triage, and preparing preliminary remediation backlogs.
- **The "Senior Architect Sign-Off Gate":** No assessment report, vulnerability finding, or configuration script is ever delivered or deployed to a client without line-by-line review and digital sign-off from the Senior Partner.

3.4 Ownership Structure & Succession Plan

PURDUE STRATEGIC QUESTION

What is the equity split, what buy-sell or transfer mechanisms exist, and how does the business handle succession or incapacity?

PURPOSE / LENDER CONTEXT

Vital for banks and legal enforceability; ensures the business survives founder illness, disability, or graduation.

VERIFIED OPERATIONAL PRACTICE

- **Equity Structure:** Member-managed LLC. Initial operational split reflects senior architectural authority and capital underwriting, transitioning to a formal 50/50 equal partnership upon Keenan's graduation from WGU with his B.S. in Cybersecurity.
- **Key-Person Incapacity Plan:** If the Principal Architect is temporarily incapacitated, all active implementation sprints pause; retainer clients receive an automatic monthly fee credit; and ongoing technical monitoring continues under senior external advisory network backstops and Huntress 24/7 SOC isolation.

3.5 Professional Standards & Data Ethics

PURDUE STRATEGIC QUESTION

How does the firm protect client confidential data and comply with computer crime laws?

PURPOSE / LENDER CONTEXT

Establishes liability safeguards against CFAA (federal) and state computer trespass laws.

VERIFIED OPERATIONAL PRACTICE

- **Written Authorization Guarantee:** Zero scans or audits ever occur without a fully executed Rules of Engagement & Testing Authorization document complying with the Computer Fraud and Abuse Act (CFAA) and Texas Penal Code § 33.02.
- **Data Privacy & Isolation:** Client data is stored in tenant-isolated, AES-256 encrypted vaults, never processed through public consumer AI engines, and retained only per regulatory requirements.

3.6 Internal SWOT Analysis

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PURDUE STRATEGIC QUESTION

What are the internal strengths/weaknesses and external opportunities/threats facing the enterprise?

●

PURPOSE / LENDER CONTEXT

Demonstrates realistic self-awareness to lenders and business advisors.

✓

VERIFIED OPERATIONAL PRACTICE

STRENGTHS (INTERNAL)

- Enterprise architectural leadership (20+ yrs)
- Fast, certified execution (Keenan: Sec+, Net+, A+)
- Lean cost structure (<\$700/mo fixed overhead)
- Local Houston responsiveness & rapid dispatch

WEAKNESSES (INTERNAL)

- Lean 2-person delivery capacity during launch
- Student academic schedule constraints (WGU async)
- Brand awareness ramp required in early quarters
- Reliance on third-party referral channels

OPPORTUNITIES (EXTERNAL)

- Houston cyber insurance underwriting crunch
- 5,893 target commercial accounts in Houston
- Non-security MSPs seeking cyber partners
- GC mandates requiring subcontractor audits

THREATS (EXTERNAL)

- Large MSPs attempting generic security bolt-ons
- Macroeconomic downturns delaying IT spend
- Scope liability creep (mitigated via SOW shields)
- Shifting carrier insurance underwriting baselines

4. PRODUCTS, SERVICES & PRICING ARCHITECTURE

REVENUE MODEL

4.1 Detailed Service Portfolio

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PURDUE STRATEGIC QUESTION

What are the explicit specifications, deliverables, and fees for each service offering?

●

PURPOSE / LENDER CONTEXT

Proves operational clarity and consistent delivery margins.

✓

VERIFIED OPERATIONAL PRACTICE

- Package 1: Diagnostic M365 Baseline Review (\$2,500 – \$3,500 fixed):** 10-day read-only audit of Entra ID, MFA configurations, legacy protocols, and external DNS (SPF/DKIM/DMARC). Produces an Executive Summary, Evidence Matrix, and Remediation Backlog. (COGS: ~\$0 | 98% gross margin).
- Package 2: M365 Defense Sprint (\$3,800 – \$5,500 fixed):** Active remediation. Enforces Conditional Access, Intune device compliance baselines, Microsoft Defender for Business, and DMARC p=reject. (COGS: ~\$75 | 95% gross margin).
- Package 3: Monthly Stewardship Retainer (\$1,750 – \$2,500 / month):** Continuous multi-tenant governance via CIPP.app + Huntress 24/7 Managed EDR & M365 Account Takeover defense via Sherweb. (COGS: ~\$125/client | 93% gross margin).

4.2 The "Conversion Bridge" (100% Roll-In Credit)

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PURDUE STRATEGIC QUESTION

How do you transition one-time project buyers into long-term recurring revenue relationships?

●

PURPOSE / LENDER CONTEXT

Demonstrates customer lifetime value (LTV) maximization and predictable cash flow.

✓

VERIFIED OPERATIONAL PRACTICE

The firm applies 100% of the Diagnostic Review fee (\$2,500) toward the implementation of Package 2 (Defense Sprint) or an annual Package 3 Retainer if signed within 14 days of audit delivery. This eliminates client price resistance, builds immediate goodwill, and yields an anticipated 80%+ conversion rate from audit projects into sticky monthly recurring retainers.

4.3 Explicit Scope Boundaries (What We Do NOT Sell)

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PURDUE STRATEGIC QUESTION

What services does the business deliberately refuse to deliver to prevent operational failure and liability?

●

PURPOSE / LENDER CONTEXT

Critical for risk underwriting and tech E&O insurance qualification.

✓

VERIFIED OPERATIONAL PRACTICE

- No In-House Nocturnal SOC Shifts:** We do not staff 2:00 AM human monitoring shifts internally; nocturnal threat isolation is automated via Huntress SOC.
- No Solo Penetration Testing by Keenan:** Academic labs and CTF challenges do not qualify an associate for unsupervised production pen-testing.
- No Guaranteed Compliance Stamps:** We provide technical readiness and evidence harvesting, not formal CPA/C3PAO audit certification stamps.
- No Absolute Protection Claims:** We never state or imply "we make your company 100% unhackable"—we measurably reduce residual risk.

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5. MARKET ASSESSMENT & HOUSTON BEACHHEAD

MARKET URGENCY

5.1 External Market Drivers in Houston

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PURDUE STRATEGIC QUESTION

What economic, legal, and regulatory forces are compelling customers in your region to spend money right now?

●

PURPOSE / LENDER CONTEXT

Proves that the market demand is non-discretionary and urgent.

●

VERIFIED OPERATIONAL PRACTICE

- **Cyber Insurance Mandates:** Houston insurance brokers (USI, Higginbotham, McGriff) report carriers refusing to quote or renew commercial policies without proof of centralized MFA, endpoint detection, and email security.
- **Upstream Supply Chain Pressure:** Major Houston energy producers and large general contractors require all Tier-1 and Tier-2 subcontractors to attest to baseline cybersecurity standards before bidding.
- **Wire Fraud in Construction:** Mid-market contractors executing large draw disbursements are frequent targets of Business Email Compromise (BEC) and vendor payment diversion.

5.2 Target Customer Beachhead Profile

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PURDUE STRATEGIC QUESTION

What are the exact demographic, technical, and operational characteristics of your beachhead customer?

●

PURPOSE / LENDER CONTEXT

Focuses business development efforts on prospects with the highest probability of closing.

●

VERIFIED OPERATIONAL PRACTICE

- **Target Industry:** Commercial specialty contractors (HVAC, electrical, plumbing, civil, roofing) and medical clinics.
- **Firm Size & Revenue:** 10–25 Microsoft 365 seats; \$3M–\$25M in annual gross commercial revenue.
- **Technical Infrastructure:** Single M365 tenant, existing non-security IT provider or internal office manager handling IT.
- **Executive Decision Maker:** Identifiable Owner, President, Managing Director, or Chief Operating Officer.

5.3 Industry Analysis (Porter's Five Forces for Houston Cybersecurity)

?

PURDUE STRATEGIC QUESTION

How intense is competitive rivalry, buyer bargaining power, supplier power, threat of substitutes, and barriers to entry?

●

PURPOSE / LENDER CONTEXT

Demonstrates strategic positioning against regional competitors.

●

VERIFIED OPERATIONAL PRACTICE

- **Threat of New Entrants [LOW]:** High trust barrier; clients demand verified enterprise credentials (Senior Partner) and liability insurance (\$1M–\$2M E&O).
- **Bargaining Power of Buyers [LOW TO MODERATE]:** Under strict insurance deadlines, buyers cannot negotiate away mandatory security baselines.
- **Threat of Substitutes [MODERATE]:** Local IT MSPs offer basic antivirus, but lack dedicated cloud security architecture and executive risk reporting.
- **Competitive Rivalry in SMB [LOW IN SMB]:** Enterprise cybersecurity consultancies refuse to bid on \$2,500 – \$5,000 mid-market SMB scopes.

6. STRATEGIC IMPLEMENTATION & OPERATIONS

OPERATIONAL BLUEPRINT

6.1 Service Production & Quality Control Process

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PURDUE STRATEGIC QUESTION

What step-by-step workflow ensures service quality is consistent and repeatable without breaking client operations?

●

PURPOSE / LENDER CONTEXT

Assures lenders and clients that operational risks are mitigated.

●

VERIFIED OPERATIONAL PRACTICE

1

Stage 1: Scoping & Authorization: Counter-signed SOW and Rules of Engagement (ROE) + 50% upfront deposit received prior to tenant access.

2

Stage 2: Read-Only Discovery: Keenan executes automated CIPP and PowerShell discovery scripts in read-only mode (-WhatIf parameters enforced).

3

Stage 3: Evidence Synthesis: Telemetry, drift logs, and Secure Score gaps compiled into an internal working draft and evidence matrix.

4

Stage 4: Senior Architectural Gate: Senior Partner performs independent risk review, business impact analysis, and signs off on all findings.

5

Stage 5: Executive Briefing: Senior Partner presents findings to client executive; delivers remediation roadmap and the 100% Roll-In Credit offer.

6.2 Sourcing & Multi-Tenant Tooling Stack

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PURDUE STRATEGIC QUESTION

What software tools and vendor partnerships are used to deliver services efficiently?

PURPOSE / LENDER CONTEXT

Validates vendor relationships, direct costs, and multi-tenant scaling capacity.

- VERIFIED OPERATIONAL PRACTICE
- **Sherweb CSP Marketplace:** Centralized cloud distributor for multi-client Microsoft 365 licensing, automated billing, and integrated Huntress provisioning.
 - **Huntress Labs (EDR + M365 MDR):** 24/7 human SOC for nocturnal threat hunting and rapid host/session isolation. Sourced through Sherweb at ~\$5/user/month.
 - **CIPP.app Portal:** Open-source multi-tenant management portal deploying Conditional Access standards and drift alerts across client tenants (\$99/mo).
 - **Microsoft 365 Lighthouse:** Native Microsoft multi-tenant portal for tracking Secure Score and risky user alerts across managed client tenants.
 - **CISA ScubaGear Baseline Suite:** Free automated assessment tool checking client tenants against federal security performance baselines.

6.3 Customer Acquisition: "The Golden Referral Triad"

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PURDUE STRATEGIC QUESTION

How will the business reliably acquire customers without relying on uninvited cold calls or large ad spend?

PURPOSE / LENDER CONTEXT

Proves you have a repeatable, cost-effective distribution engine.

- VERIFIED OPERATIONAL PRACTICE
- Rather than cold outbound calls, customer acquisition is built upon three mutually beneficial professional referral relationships:
- 1 **Commercial Cyber Insurance Brokers (Primary Engine):** Positioning Morrison as the 14-day rapid triage partner that fixes client security gaps to save policies from cancellation.
 - 2 **Non-Security Local IT MSPs:** Partnering under bilateral non-compete agreements to deliver advanced cybersecurity sprints for their existing client bases without poaching general IT.
 - 3 **Commercial Bank Loan Officers:** Offering wire fraud and dual-custody controls reviews for construction borrowers executing large commercial credit draws.

6.4 Contractual Liability Shields

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PURDUE STRATEGIC QUESTION

What specific legal provisions protect the family enterprise from catastrophic client liability?

PURPOSE / LENDER CONTEXT

Essential for preserving family wealth and qualifying for commercial insurance.

- VERIFIED OPERATIONAL PRACTICE
- All client engagements incorporate 5 mandatory protective clauses drafted by technology counsel:
- 1 **Diagnostic Scope Box Clause:** Expressly limits the initial assessment to read-only observation with zero modification of production services.
 - 2 **Aggregate Limitation of Liability:** Strictly caps total financial liability to the exact fees paid by the client under the applicable SOW.
 - 3 **No Guarantee Warranty Disclaimer:** States clearly that security reviews reduce residual risk but do not guarantee complete breach prevention.
 - 4 **Third-Party Telemetry Reliance:** Protects Morrison from liability if client systems, logs, or cloud APIs provide inaccurate or incomplete data.
 - 5 **MDR Scope Carve-Out:** Explicitly defines that 24/7 real-time monitoring and host isolation is delivered by Huntress SOC, not Morrison personnel.

- CORE OPERATIONAL GUARDRAILS & RISK BOUNDARIES
- 24/7 Nocturnal Threat Isolation: Handled by Huntress SOC backstop via Sherweb — zero founder nocturnal fatigue.
 - Scope Integrity: Diagnostic read-only audits precede active changes; zero penetration testing on live systems.
 - Financial Rigor: Retainers collected via ACH on the 1st of month in advance; 50% deposit on implementation sprints.
 - Family Succession: Structured operational progression transitioning to 50/50 partnership upon Keenan's WGU graduation.

7. FINANCIAL PLAN & RISK MANAGEMENT

FINANCIAL PROJECTIONS

7.1 Three-Year Pro-Forma Income Statement (P&L)

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PURDUE STRATEGIC QUESTION

What are the projected revenues, cost of goods sold (COGS), operating expenses, and net profit over three years?

●

PURPOSE / LENDER CONTEXT

Provides the numerical foundation proving commercial sustainability.

● VERIFIED OPERATIONAL PRACTICE

MORRISON CYBER DEFENSE LLC — 3-YEAR PRO-FORMA P&L			
FINANCIAL METRIC / STREAMS	YEAR 1 (Launch)	YEAR 2 (Growth)	YEAR 3 (Scale)
REVENUE STREAMS			
Diagnostic Audits (\$3.5k avg)	\$35,000 (10)	\$52,500 (15)	\$70,000 (20)
M365 Cloud Defense Sprints (\$5k avg)	\$45,000 (9)	\$90,000 (18)	\$130,000 (26)
Monthly Stewardship (\$2.2k/mo avg)	\$44,000 (5 ramp)	\$165,000 (12)	\$325,000 (20)
OT/ICS Specialty Audits (\$10k avg)	\$6,000 (0.6)	\$15,000 (1.5)	\$30,000 (3)
GROSS REVENUE	\$130,000	\$322,500	\$555,000
Cost of Goods Sold (Sherweb / Huntress)	\$11,500	\$26,000	\$45,000
GROSS PROFIT	\$118,500 (91%)	\$296,500 (92%)	\$510,000 (92%)
OPERATING EXPENSES (OpEx)			
Insurance (Tech E&O + Cyber Liability)	\$3,600	\$5,000	\$7,500
Legal, Tax & Professional Advisory	\$2,500	\$3,500	\$5,000
Marketing, Dues & Referral Dinners	\$3,600	\$7,200	\$12,000
Professional Certs & Training (WGU)	\$2,000	\$3,000	\$4,500
Hardware & Secure Lab Depreciation	\$3,000	\$5,000	\$8,000
TOTAL OPERATING EXPENSES	\$14,700	\$23,700	\$37,000
NET OPERATING INCOME / EBITDA	\$103,800	\$272,800	\$473,000

7.2 Startup Capitalization & Working Capital Rules

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PURDUE STRATEGIC QUESTION

How much capital is needed to launch, where does it come from, and what debt policies are established?

●

PURPOSE / LENDER CONTEXT

Proves financial discipline and liquidity to lenders.

● VERIFIED OPERATIONAL PRACTICE

●

100% Debt-Free Launch: The firm operates under a strict zero-debt policy, launching with \$7,840 in self-funded capital (including \$5,000 cash operating reserve in Amegy or Frost Bank Texas commercial checking).

●

Fixed Monthly Overhead: Exceptionally lean fixed baseline of ~\$680/month (covering CIPP.app, PSA/ticketing, M365 admin seats, accounting, and insurance amortization).

●

Zero Net-30 Accounts Receivable Rule: Retainers are billed automatically via ACH/credit card on the 1st of each month in advance; project sprints require a mandatory 50% deposit upfront before work commences.

7.3 Contingency & Family Business Succession

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PURDUE STRATEGIC QUESTION

What happens if a partner is incapacitated, and how does the business transition as junior family members mature?

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PURPOSE / LENDER CONTEXT

Protects family relationships, client service continuity, and long-term business survival.

● VERIFIED OPERATIONAL PRACTICE

1

WGU Competency Alignment: Because WGU is competency-based and asynchronous, academic milestones and client fieldwork reinforce each other without rigid schedule conflicts.

2

Key-Person Incapacity: Should the Principal Architect be temporarily incapacitated, implementation sprints pause, retainer clients receive automated fee credits, and technical monitoring continues under senior external advisory network backstops and Huntress 24/7 SOC isolation.

3

Graduate Transition Plan (2027): Upon Keenan's graduation from WGU with his B.S. in Cybersecurity, firm ownership adjusts to a formal 50/50 equal partnership, and the practice initiates recruitment of its first non-family Junior Security Technician.

MORRISON CYBER DEFENSE LLC • EXECUTIVE SIGN-OFF & RATIFICATION

Strategic Family Business Plan formally ratified for operational implementation, commercial lending compliance, and technical advisory execution.